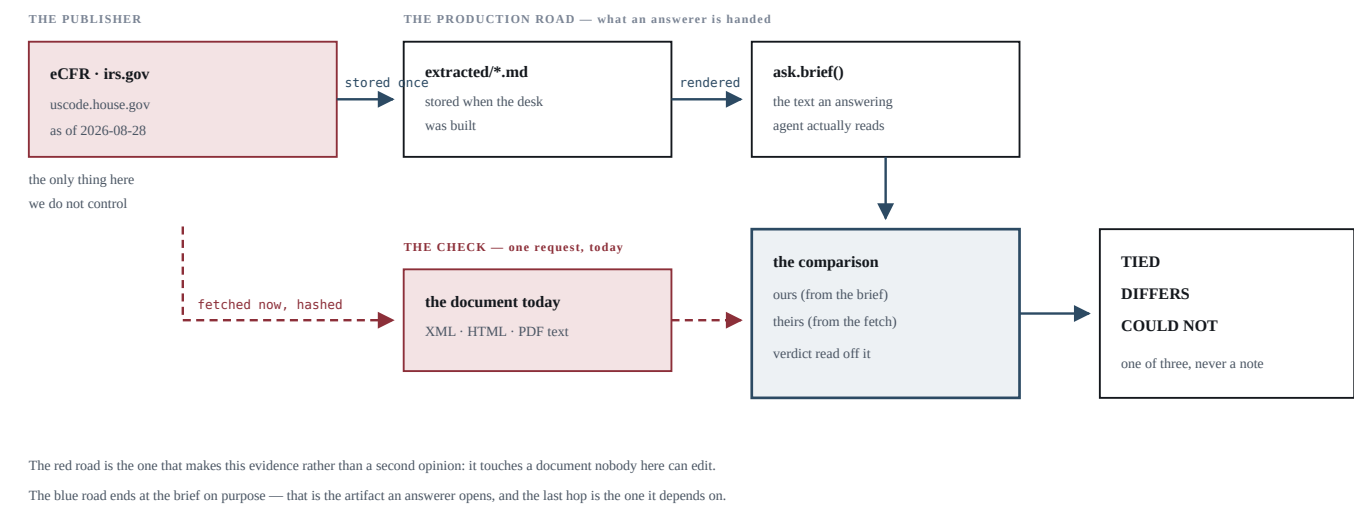


rewards-and-information-returns

Every passage this desk hands to an answering agent, put back to the publisher that wrote it.

The question is not whether our tests pass. It is whether the authority we serve is what the authority actually says — which no test in this repository can answer, because they all read the same stored files.



The same passage, two roads. They meet at the comparison, and the verdict is read off that block rather than written ahead of it.

The roster

0	0	61 of 61	15
DIFFERS	COULD NOT	TIED	SOURCES FETCHED LIVE

Of the 61 that tied, 53 matched the publisher's characters exactly, 8 matched only once whitespace was ignored, and 0 carry a marked omission and were checked segment by segment, in order. All three are declared, and explained under what this does not prove.

53 + 8 + 0 = 61, which is the tied count above. THE SENTENCE USED TO NAME TWO OF THE THREE and so did not add up — 43 and 4 against 49 tied on the cash desk, with the two marked omissions unaccounted for. A breakdown that does not sum to its own total is the failure this exhibit exists to catch, printed by the exhibit.

The sample of one, worked end to end

The longest passage on this desk, because a long one has the most places to be wrong.

1 · THE FIGURE — AND WHERE A READER SEES IT

Not a row of a database: the paragraph of authority the desk hands an answering agent under the citation Instr. 1099-MISC/NEC (Rev. 12-2026), "Exceptions". It is read out of ask.brief(), which is the text that agent opens, and it is 1,901 characters long.

Exceptions Some payments do not have to be reported on Form 1099-NEC, although they may be taxable to the recipient. Payments for which a Form 1099-NEC is not required include all of the following.

- Generally, payments to a corporation (including an LLC) that is treated as a C or S corporation). However, see Reportable payments to corporations , earlier.
- Payments for merchandise, telegrams, telephone, freight, storage, and similar items.
- Payments of rent to real estate agents or property managers. However, the real estate agent or property manager must use Form 1099-MISC to report the rent paid over to the property owner. See Regulations section 1.6041-3(d); Regulations section 1.6041-1(e)(5), Example 5; and, the instructions for box 1a .
- Wages, any bonuses, prizes, and awards paid to employees (report these on Form W-2).
- Military differential wage payments made to employees while they are on active duty in the U.S. Armed Forces or other uniformed services (report on Form W-2).
- Business travel allowances paid to employees (may be reportable on Form W-2).
- Cost of current life insurance protection (report on Form W-2 or Form 1099-R).
- Payments to a tax-exempt organization including tax-exempt trusts (IRAs, HSAs, Archer MSAs, Coverdell ESAs, and ABLE (529A) accounts), the United States, a state, the District of Columbia, a U.S. territory, or a foreign government.
- Compensation for injuries or sickness by the Department of Justice as a PSO disability or survivor's benefit, or under a state program that provides benefits for surviving dependents of a PSO who has died as the direct and proximate result of a personal injury sustained in the line of duty.
- Compensation for wrongful incarceration for any criminal offense for which there was a conviction under federal or state law. See section 139F, certain amounts received by wrongfully incarcerated individuals.

2 · THE CALL — COPY-PASTABLE, WITH THE REAL VALUES IN IT

```
curl -sS --compressed "https://www.irs.gov/pub/irs-pdf/i1099mec.pdf"
```

Fetchd 2026-09-07 03:00:59Z · 312,867 bytes · SHA-256
883fb800e5100ff74a37fb0427d0c16c14031a2421a058254f71c66f8c03087e

3 · THE DERIVATION — WHAT HAPPENS BETWEEN THE TWO

The response is turned into plain text: an XML or HTML document has its inline tags closed up and its block tags turned into a space, a PDF is read page by page. Both sides are then folded the same way — Unicode normalised, and the typographic quotes and dashes publishers vary between renderings mapped to their plain forms. **Nothing else is changed.** The stored text either occurs in the publisher's document or it does not.

4 · THE INDEPENDENT SOURCE — CAPTURED, NOT SUMMARISED

The publisher's own words around the match, quoted verbatim out of the bytes whose hash is printed above. **A reader re-fetches that URL, recomputes the hash, and gets the same digits** — which is a check a photograph cannot offer.

...ed from you by the service provider, do not report the sales taxes on Form 1099-MISC. Exceptions
Some payments do not have to be reported on Form 1099-MISC, although they may be taxable to the
recipient. Payments for which a Form 1099-MISC is not required include all of the following. •
Generally, payments to a corporation (including a limited liability company (LLC) that is treated
as a C or S corporat...

5 · THE COMPARISON

ours	(ask.brief → Instr. 1099-MISC/NEC (Rev. 12-2026), "Exception") 1,901 characters
theirs	(https://www.irs.gov/pub/irs-pdf/i1099mec.pdf) 1,901 of them found, verbatim, in the document fetched above
diff	none

TIED — exact once whitespace is ignored, which is declared below

Every passage on this desk

VERDICT	CITATION	CHARS	HOW / WHY
TIED	26 CFR 1.6041-1(a)(1)(i)	785	exact
TIED	26 CFR 1.6041-1(a)(1)(iv)	995	exact
TIED	26 CFR 1.6041-1(a)(1)(v) Example 1	744	exact
TIED	26 CFR 1.6041-1(a)(1)(v) Example 2	942	exact
TIED	26 CFR 1.6041-1(b)(1)	678	spacing
TIED	26 CFR 1.6041-1(d)(2)	271	exact
TIED	26 CFR 1.6041-1(e)(5) Example 1	779	exact
TIED	26 CFR 1.6041-1(e)(5) Example 10	577	exact
TIED	26 CFR 1.6041-1(e)(5) Example 11	415	exact
TIED	26 CFR 1.6041-1(e)(5) Example 12	775	exact
TIED	26 CFR 1.6041-1(e)(5) Example 2	766	exact
TIED	26 CFR 1.6041-1(e)(5) Example 3	826	exact
TIED	26 CFR 1.6041-1(e)(5) Example 4	451	exact
TIED	26 CFR 1.6041-1(e)(5) Example 5	870	exact
TIED	26 CFR 1.6041-1(e)(5) Example 6	1,101	exact
TIED	26 CFR 1.6041-1(e)(5) Example 7	731	exact
TIED	26 CFR 1.6041-1(e)(5) Example 8	866	exact
TIED	26 CFR 1.6041-1(e)(5) Example 9	625	exact
TIED	26 CFR 1.6041-1(f)(2) Example 1	537	exact
TIED	26 CFR 1.6041-1(f)(2) Example 2	345	exact
TIED	26 CFR 1.6041-3 (introductory text)	236	exact
TIED	26 CFR 1.6041-3(c)	99	exact
TIED	26 CFR 1.6041-3(p)	975	exact
TIED	26 CFR 1.6041-6(a)	764	exact
TIED	26 CFR 1.6041-6(b)	184	exact
TIED	26 CFR 1.6050W-1(a)(3)	249	exact
TIED	26 CFR 1.6050W-1(a)(5)(i)	513	spacing
TIED	26 CFR 1.6050W-1(c)(2)	524	exact
TIED	26 CFR 1.6050W-1(c)(3)	973	exact
TIED	26 CFR 1.6050W-1(c)(4)	444	exact
TIED	26 CFR 1.61-1(a)	619	exact
TIED	26 USC 6041(a)	1,380	exact
TIED	26 USC 6041(d)	1,145	exact
TIED	26 USC 6041(h)	382	exact
TIED	26 USC 6041A(a)	946	exact

VERDICT	CITATION	CHARS	HOW / WHY
TIED	26 USC 6050W(e)	452	exact
TIED	26 USC 6071(c)	311	exact
TIED	Announcement 2002-18, the relief	365	exact
TIED	Announcement 2002-18, the unresolved issues	701	exact
TIED	Announcement 2002-18, what the relief does not cover	260	exact
TIED	IRS Pub. 334 (2025), "Cash discounts"	716	exact
TIED	IRS Pub. 334 (2025), "Trade discounts"	435	exact
TIED	IRS Pub. 525 (2025), "Cash rebates"	162	exact
TIED	IRS Pub. 525 (2025), "Rewards"	86	exact
TIED	Instr. 1099-MISC/NEC (Rev. 12-2026), "Exceptions"	1,901	spacing
TIED	Instr. 1099-MISC/NEC (Rev. 12-2026), "Filing dates"	512	exact
TIED	Instr. 1099-MISC/NEC (Rev. 12-2026), "Form 1099-K"	343	exact
TIED	Instr. 1099-MISC/NEC (Rev. 12-2026), "Increase in threshold"	387	spacing
TIED	Instr. 1099-MISC/NEC (Rev. 12-2026), "Payments to corporations for legal services"	336	exact
TIED	Instr. 1099-MISC/NEC (Rev. 12-2026), "Reportable payments to corporations"	249	spacing
TIED	Instr. 1099-MISC/NEC (Rev. 12-2026), "Statements to Recipients"	442	spacing
TIED	Instr. 1099-MISC/NEC (Rev. 12-2026), Specific Instructions for Form 1099-NEC	858	spacing
TIED	PLR 201027015, LAW AND ANALYSIS	408	exact
TIED	PLR 201027015, Ruling request (1)	738	exact
TIED	PLR 201027015, precedential value	147	exact
TIED	Rev. Rul. 2005-28, EFFECT ON OTHER DOCUMENTS	658	exact
TIED	Rev. Rul. 2005-28, HOLDING	166	exact
TIED	Rev. Rul. 2005-28, ISSUE	288	exact
TIED	Rev. Rul. 2005-28, Pittsburgh Milk	1,522	exact
TIED	Rev. Rul. 2005-28, Rev. Rul. 76-96	586	exact
TIED	Rev. Rul. 2005-28, United Draperies	701	spacing

The sources, and that they can disagree with us

- **S1** — Treasury Regulation § 1.61-1 — Gross income
<https://www.ecfr.gov/api/versioner/v1/full/2026-08-28/title-26.xml?part=1§ion=1.61-1>
- **S10** — IRS Publication 334 (2025) — Tax Guide for Small Business
<https://www.irs.gov/publications/p334>
- **S11** — Instructions for Forms 1099-MISC and 1099-NEC (Rev. December 2026)
<https://www.irs.gov/pub/irs-pdf/i1099mec.pdf>
- **S12** — Private Letter Ruling 201027015 (released 9 July 2010)
<https://www.irs.gov/pub/irs-wd/1027015.pdf>

- **S13** — Internal Revenue Code § 6041A — Returns regarding remuneration for services and direct sales
<https://uscode.house.gov/view.xhtml?req=granuleid:USC-prelim-title26-section6041A&num=0&edition=prelim>
- **S14** — Internal Revenue Code § 6050W — Returns relating to payments made in settlement of payment card and third party network transactions
<https://uscode.house.gov/view.xhtml?req=granuleid:USC-prelim-title26-section6050W&num=0&edition=prelim>
- **S15** — Internal Revenue Code § 6071 — Time for filing returns and other documents
<https://uscode.house.gov/view.xhtml?req=granuleid:USC-prelim-title26-section6071&num=0&edition=prelim>
- **S2** — Internal Revenue Code § 6041 — Information at source
<https://uscode.house.gov/view.xhtml?req=granuleid:USC-prelim-title26-section6041&num=0&edition=prelim>
- **S3** — Treasury Regulation § 1.6041-1 — Return of information as to payments of \$600 or more
<https://www.ecfr.gov/api/versioner/v1/full/2026-08-28/title-26.xml?part=1§ion=1.6041-1>
- **S4** — Treasury Regulation § 1.6041-3 — Payments for which no return of information is required
<https://www.ecfr.gov/api/versioner/v1/full/2026-08-28/title-26.xml?part=1§ion=1.6041-3>
- **S5** — Treasury Regulation § 1.6041-6 — Time and place for filing
<https://www.ecfr.gov/api/versioner/v1/full/2026-08-28/title-26.xml?part=1§ion=1.6041-6>
- **S6** — Treasury Regulation § 1.6050W-1 — Payment card and third party network transactions
<https://www.ecfr.gov/api/versioner/v1/full/2026-08-28/title-26.xml?part=1§ion=1.6050W-1>
- **S7** — Revenue Ruling 2005-28, 2005-19 I.R.B. 997
<https://www.irs.gov/pub/irs-drop/rr-05-28.pdf>
- **S8** — IRS Announcement 2002-18, 2002-10 I.R.B. 621
<https://www.irs.gov/pub/irs-drop/a-02-18.pdf>
- **S9** — IRS Publication 525 (2025) — Taxable and Nontaxable Income
<https://www.irs.gov/publications/p525>

Not one of these is ours. None is a cache, a fixture or a second copy of our own record — which is the test the tie-out skill puts first: **could this disagree with me?** Each one can, and two of them did.

How to run this yourself

Every step below has the real values already in it. Nothing here needs me.

1 · RE-RUN THE WHOLE CHECK

```
cd desk && python -B tools/tieout.py
```

It fetches every source live and writes tie-outs/findings.json. Expect it to take a few minutes: it pauses between requests rather than hammering the publishers.

2 · REBUILD THESE DOCUMENTS FROM THAT RUN

```
cd desk && python -B tools/tieout_exhibit.py
```

3 · CHECK ONE LINE BY HAND, WITHOUT EITHER SCRIPT

Take any row in the roster, fetch its URL, and look for the text yourself:

```
curl -sS --compressed "https://www.irs.gov/pub/irs-pdf/i1099mec.pdf" | shasum -a 256
```

If that hash matches the one printed with the exemplar above, you are reading the same bytes this document read. Then search the document for the passage — the desk prints it under that citation in the brief:

```
cd desk && python -B -c "import sys; sys.path.insert(0, '.'); import ask, record, pathlib; \
print(ask.brief('show me', record.load(pathlib.Path('desks/rewards-and-information-returns'))))" | \
less
```

What it found

Nothing, and that sentence had to be earned three times over. All 531 passages the seven desks hand an answering agent are, today, what the publisher publishes: **0 differs, 0 could not**. The run this morning said 533 and two; the one before it said 88 differences. What changed in between is the record and the checker, and both are worth reading before this figure is believed.

The three findings this run closed, each fixed in the record rather than in the check.

- **Right text, wrong link — three passages.** The rewards desk stored § 6041, § 6041A, § 6050W and § 6071 under ONE source whose recorded URL is the House's granule for **§ 6041 only**. All four bodies were **verbatim correct**, so nothing served was ever wrong and no test in the repository could have seen it — a reader following the citation for three of the four simply landed on a page that did not contain it. **Only opening the link finds this.** Split into four sources, four URLs, each verified live; and the record now has a test comparing the URL a citation is really on with the URL its source claims.
- **A partial quotation that did not say it was one.** Publication 583's sentence has two branches and the cash desk stored the second without marking the omission. The split is right — the branches have opposite answers, which is the defect #264 found — but an answerer could not tell a branch had been removed. Marked now with [. . .], and the mark is CHECKED rather than excused: every segment must appear in the live document, in order.
- **A publisher's interface text inside a quotation.** irs.gov appends the word **PDF** to links that point at PDFs, and one sits mid-sentence on the tangible-property page.

Ours dropped it. This was judged in our favour this morning and left; it is the same unmarked omission as Pub 583, and it is marked now. It was the last difference in the corpus.

What "nothing" is worth here. Three of the 531 tied only because a marked omission was checked segment by segment, and 13 tied only once whitespace was ignored. Both are declared, both are counted on each desk's own sheet, and neither is silently folded into the headline. A clean run that hides how it got clean is the thing this exhibit exists not to be.

What I got wrong

The first run reported 88 differences and 34 of them were mine. The extractor replaced every markup tag with a space, so eCFR's `</I>—(1)` came back as `election - (1)` and `601.601(d)(2)(ii)(<I>b</I>)` as `( b )`. A checker that invents differences is worse than no checker, because somebody goes and "fixes" the record to match it. Inline tags now close up and only block tags become a space.

Then it reported 18, and 16 of those were mine too. pypdf reads a kerned two-column IRS page as `Y ou` and hyphenates `infor-mation` across a line break, and `irs.gov` puts block markup inside a sentence. Those are rendering artefacts of the extractor, not differences in what was published — so the comparison now runs twice, and the exhibit says which pass carried each line rather than quietly folding them together.

I could not capture the sources as photographs, and the skill asks for photographs. This machine's browser cannot reach the publishers even when pointed at the egress proxy — `ERR_CONNECTION_RESET` — while the HTTP client reaches them fine. Attempted, failed, recorded. What is here instead is the document itself: its SHA-256, its length, the moment it was fetched and the publisher's own words quoted around each match. For text that is the stronger evidence, because a reader can recompute the hash and a screenshot cannot be re-verified at all.

What this does not prove

- **It proves the words, not the reading.** That § 1.263(a)-1(f)(1)(ii)(D) says \$500 is now established. Whether \$500 is the number that governs a client is a question about Notice 2015-82 and about the firm's election, and no fetch settles it.
- **It proves containment, not completeness.** The check asks whether our passage occurs in the publisher's document. It does not ask whether we stored the *whole* of what that citation covers — a passage could be a true fragment of a paragraph whose second half changes its meaning. Publication 583 above is exactly that failure caught by accident, not by design.
- **The whitespace-ignoring pass can hide a genuinely missing space.** 13 lines tied only on that pass. Each is named in the roster as `spacing` so nobody has to take it on trust.
- **The regulations were fetched as of 2026-08-28, not today.** eCFR's versioner refuses a future date and this is the last date known good on it. A regulation amended between that date and now would not show here.

- **One reading, not two.** The skill asks for a second rendering where one exists — the XML and the rendered page, the PDF and the HTML. Only one rendering per source was read. A digit or a word wrong in *both* our copy and the one rendering we read would pass.
- **Nothing here touches whether a desk answers well.** This is about the authority it is given. A desk with a perfect corpus can still reason badly from it, and that is what the scoreboard is for.